

tations when the testator leaves no real estate to support the trust.¹

7. **Debt contracted by infant for necessities.**—The terms of the trust will extend to the repayment of a sum of money borrowed by the settlor when an *infant* for the purchase of necessities (*b*).

8. **Case of a mortgagee with covenant for payment.**—Shall a *mortgagee* who has a covenant for payment of his debt be allowed to prove and receive a dividend upon the whole amount of his debt *pari passu* with the other creditors, or shall he prove only for the excess of the debt beyond the value of the security, or what rule is to govern the case? In bankruptcy, the mortgagee proves only for the excess of the mortgage debt over the value of the security, so that he must first dispose of the estate (with the concurrence, if he has no power of sale, of the trustee in bankruptcy), [or assess the value of it,] and then prove for the difference. In the administration of assets in Courts of equity, a mortgagee [was until recently] allowed to prove for his whole debt without being put on terms as to his security (*c*); [but by the Judicature Act, 1875 (*d*), the rule in equity has in insolvent estates been assimilated to that in bankruptcy.] The trust deed usually provides for the case of persons having specific liens, and ingrafts the principle established in bankruptcy. If there be no such clause, and if the deed provide that the creditor shall release his debt and all securities for the same, the mortgagee, by executing the deed, binds himself to the other creditors, notwithstanding any

(*b*) *Marlow v. Pitfield*, 1 P. W. 558.

(*c*) See *Greenwood v. Taylor*, 1 R. & M. 185; *Mason v. Bogg*, 2 M. & Cr. 433; *Rome v. Young*, 4 Y. & C. 204; *Hanman v. Riley*, 9 Hare, App. xli.; *Ex parte Middleton*, 3 De G. J. & Sm. 201. The rule in equity was also held to apply in liquidations of joint stock companies under the Companies' Act, 1862, *Kellock's case*, 3 L. R. Ch. App. 769. [By 38 & 39

Vict. c. 77, s. 10, the rule in bankruptcy has been adopted both in administrations of insolvent estates in Courts of Equity and in liquidations under the Companies' Acts, 1862 & 1867 of joint stock companies. By the Bankruptcy Act, 1883, s. 125, the estate of a person dying insolvent can now be administered in bankruptcy.]

[(*d*) 38 & 39 Vict. c. 77, s. 10.]

¹ *Re Hepburn*, 14 Q. B. D. 394.